INTERNATIONAL FINANCIAL TRANSACTIONS ACT 2054

अन्तर्राष्ट्रिय वित्तीय कारोबार ऐन, २०५४

★ Up to latest amendments ★



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By **CA GOVINDA TAMANG**

NEPAL LAWS EXPLAINED | ACCURATE & RELIABLE | EASY TO UNDERSTAND | FOR STUDENTS, PROFESSIONALS & ENTREPRENEURS

INTERNATIONAL FINANCIAL TRANSACTIONS ACT, 2054

ACT NO. 21 OF THE YEAR 2054 (B.S.)

Authentication & Publication: 2054.10.15 (B.S.)

AMENDING ACTS

1. REPUBLIC STRENGTHENING AND SOME NEPAL LAWS AMENDMENT ACT, 2066



Date: 2066.10.7 (B.S.)

PREAMBLE: CONTEXT & OBJECTIVES



- OPEN, LIBERAL & MARKET-ORIENTED ECONOMIC POLICY
- GLOBALIZATION OF INTERNATIONAL FINANCIAL MARKETS
- DEVELOP ECONOMIC PROSPERITY OF THE NATION
- ESTABLISH NEPAL AS AN INTERNATIONAL FINANCIAL TRANSACTION CENTRE
- REGULARIZE & SYSTEMATIZE ACTIVITIES OF INTERNATIONAL FINANCIAL INSTITUTIONS

AMENDING ACTS

2. ACT AMENDING SOME NEPAL ACTS TO MAKE THEM CONSISTENT WITH THE CONSTITUTION OF NEPAL, 2075



Date: 2075.11.19 (B.S.)

2. Definitions

Unless the subject or context otherwise requires, in this Act,–

(a) 

"International financial transaction" means any financial transaction conducted by a licensed institution under this Act.

(b) 

"International financial institution" means a financial institution as referred to in Section 4.

(c) 

"Promotion Committee" means the International Financial Transaction Promotion Committee constituted under Section 9.

(d) 

"Licence" means a licence granted under Section 14 for carrying out international financial transactions pursuant to this Act.



(e) 

"Licensed institution" means an international financial institution licensed under this Act to carry out international financial transactions.



(f) 

"Implementation Committee" means the International Financial Transaction Implementation Committee constituted under Section 11.

(g) 

"Person resident in Nepal" means any of the following persons:-



(1) Nepali citizens other than those living outside Nepal for longer than the prescribed period for employment, business or other work (i.e. Nepali citizens normally living in Nepal)



(2) A non-Nepali citizen who has resided in Nepal for a period longer than that prescribed on account of employment, business or any other activity,



(3) Any institution registered in Nepal under the prevailing law.

(h) 

"Prescribed" or **"as prescribed"** means prescribed or as prescribed in the Rules framed under this Act.

SUMMARY — SECTIONS 3, 4 & 5

3. REQUIREMENT TO OBTAIN PERMISSION



International financial institutions must obtain permission from the Implementation Committee under Section 14 before conducting international financial transactions.

4. FINANCIAL INSTITUTIONS ELIGIBLE FOR A LICENCE

- Foreign banks or trust companies
- International insurance/reinsurance companies
- Authorised offices of foreign companies
- Foreign holding/investment companies
- Administrative or regional offices of foreign financial companies
- International trading and finance companies
- Foreign real estate holding companies
- Foreign patent/royalty companies
- Foreign mutual funds
- International leasing and merchant banking companies
- Foreign partnerships or trust-type organised institutions
- International insurance-brokerage companies
- Foreign non-resident pension/provident fund operators
- International financial companies providing securities brokerage, underwriting, investment advisory or pension fund advisory services

Eligibility condition:
The institution must:

- Be registered under the law of a country other than Nepal; and
- Have conducted international financial transactions for at least 3 years.

Government may add or modify eligible institutions by Nepal Gazette notification on the recommendation of the Promotion Committee.

5. PROHIBITED ACTS

An international financial institution cannot:



- Purchase or register immovable property in Nepal.



- Conduct international financial transactions with persons resident in Nepal.



- Purchase shares or debentures of companies incorporated in Nepal.



- Open an account in a commercial bank in Nepal.

Exception:
With Implementation Committee approval, it may maintain a bank account up to the specified limit solely for daily office administration.



INFOGRAPHIC SUMMARY — SECTIONS 6 TO 9

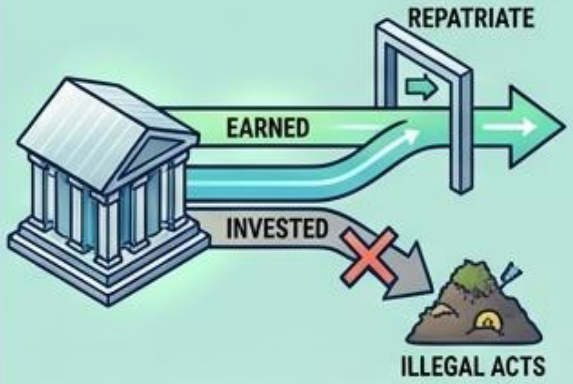
6. NO RESTRICTION ON FOREIGN CURRENCY DRAWDOWN



Licensed institutions may draw the foreign currency required for international financial transactions without restriction.

Foreign-exchange restrictions under prevailing law do not apply to licensed institutions.

7. ENTITLEMENT TO REPATRIATE FUNDS



Licensed institutions may repatriate outside Nepal:

- Foreign currency earned from international financial transactions; and
- Foreign currency invested for such transactions.

Exception: Funds or property acquired through illegal or unlawful acts cannot be repatriated.

8. NO NATIONALISATION



The capital and property of a licensed institution cannot be nationalised.

9. INTERNATIONAL FINANCIAL TRANSACTION PROMOTION COMMITTEE



An International Financial Transaction Promotion Committee is constituted to:

- Promote international financial transactions; and
- Develop Nepal as an international financial transaction centre.

Composition:

- Finance Minister/Minister of State — Chairperson
- Vice-Chairperson, National Planning Commission — Member
- Governor, Nepal Rastra Bank — Member
- Secretary, Ministry of Finance — Member
- Secretary, Ministry of Law, Justice and Parliamentary Affairs — Member
- Government-nominated financial transaction expert — Member

The Committee may invite domestic or foreign experts/advisors as observers.

Nominated member's term: 2 years.

A designated Nepal Rastra Bank officer serves as Secretary.
Meeting procedures, allowances and facilities are as prescribed.

INFOGRAPHIC SUMMARY – SECTIONS 10 TO 12

10. FUNCTIONS, DUTIES & POWERS OF PROMOTION COMMITTEE



- Formulates policies to promote international financial transactions.
- Assists Government in drafting necessary laws.
- Coordinates among governmental, non-governmental and international bodies.
- Advises Government on exemptions, facilities and concessions to attract international financial institutions to Nepal.
- Hears appeals against suspension or cancellation of licences by the Implementation Committee.
- Performs other functions necessary to promote international financial transactions.

11. IMPLEMENTATION COMMITTEE



Constituted to:

- Grant licences to international financial institutions; and
- Regulate and supervise their financial transactions.

Composition:

- Governor, Nepal Rastra Bank – Chairperson
- Secretary, Ministry of Finance – Member
- Secretary, Ministry of Law, Justice and Parliamentary Affairs – Member
- Government-nominated Chartered Accountant – Member
- Government-nominated Economist – Member
- May invite domestic/foreign experts or advisors as observers.
- Nominated CA and economist members: 2-year term.
- Designated Nepal Rastra Bank officer acts as Secretary.
- Office located at Nepal Rastra Bank.
- Meeting procedures, allowances and facilities are as prescribed.

12. FUNCTIONS, DUTIES & POWERS OF IMPLEMENTATION COMMITTEE



- Monitors and supervises licensed institutions for compliance with the Act, Rules and other applicable laws.
- Advises the Promotion Committee on faciiities and incentives for international financial institutions.
- Recommends improvements to existing laws for effective and organised international financial transactions.
- May investigate whether licensed institutions meet statutory requirements.
- Issues necessary directives to licensed institutions.
- May engage domestic/foreign experts or specialised bodies.
- Must comply with directions of the Promotion Committee.
- May suspend or cancel a licence for violation of the Act, Rules or applicable law. Before cancellation: the institution must be given an opportunity to submit an explanation.
- Performs other prescribed functions necessary to make international financial transactions effective.

INFOGRAPHIC SUMMARY – SECTIONS 13 TO 17

13. APPLICATION FOR PERMISSION



An international financial institution seeking to conduct international financial transactions must submit an application to the Implementation Committee.

- Prescribed application fee;
- Required particulars and documents; and
- Prescribed application format.

14. GRANT OF PERMISSION



Implementation Committee conducts the necessary inquiry after receiving the application.

- If permission is appropriate:
  - Specifies necessary conditions; and
  - Grants the licence after receiving the prescribed licence fee.
- If a licence cannot be granted, the applicant must be notified.

15. POWER TO SEEK INFO/DOCS



Before granting a licence, the Implementation Committee may request notices, particulars or documents necessary for assessing the application.

- The applicant institution has a duty to promptly provide the requested information/documents.

16. RENEWAL OF LICENCE



- Licence must be renewed annually.
- Renewal fee and other renewal requirements are as prescribed.

17. CONFIDENTIALITY



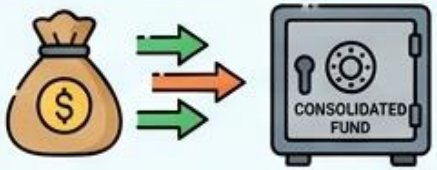
Implementation Committee must maintain the confidentiality of documents and information relating to licensed institutions under its custody/control.

- Such confidential information generally cannot be compelled to be disclosed before courts, commissions of inquiry, CIAA, inquiry committees or by other means.
- Exception: Where there are sufficient grounds linking an international financial transaction to illegal narcotic drugs or illegal arms, a court may, upon request of the Government prosecutor, order the relevant documents/information to be produced before the court.

ACT SUMMARY — SECTIONS 18 to 24

— Key Procedures and Administrative Provisions —

18. Deposit into Consolidated Fund



All fees and other amounts received under the Act must be deposited into the Consolidated Fund by the Implementation Committee.

19. Power to Form Sub-Committees

Promotion Committee or Implementation Committee may establish sub-committees as necessary.

- Their functions, duties, powers, scope and procedures are determined by the committee that forms them.

20. Government Assistance



All government bodies must provide necessary assistance to the Promotion Committee and Implementation Committee in performing their functions.

21. Delegation of Authority

Promotion Committee may delegate its powers to:

- Member
- Implementation Committee

Implementation Committee may delegate its powers to:

- Member
- Sub-committee
- Officer-level employee

Non-delegable powers:
Implementation Committee cannot delegate the power to:

- ✓ Grant a licence; or
- ✗ Suspend/cancel a licence.

22. Contact with Government



Promotion Committee shall maintain communication with the Government of Nepal through the Ministry of Finance.

23. Power to Make Rules & Regulations



Government of Nepal may make necessary Rules to implement the Act.

Promotion Committee may make necessary Regulations, subject to the Act and Rules.

Regulations become effective after approval by the Government of Nepal.

24. Matters Governed by Prevailing Law



Matters not specifically provided for under this Act shall be governed by the applicable prevailing laws relating to international financial transactions.

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